



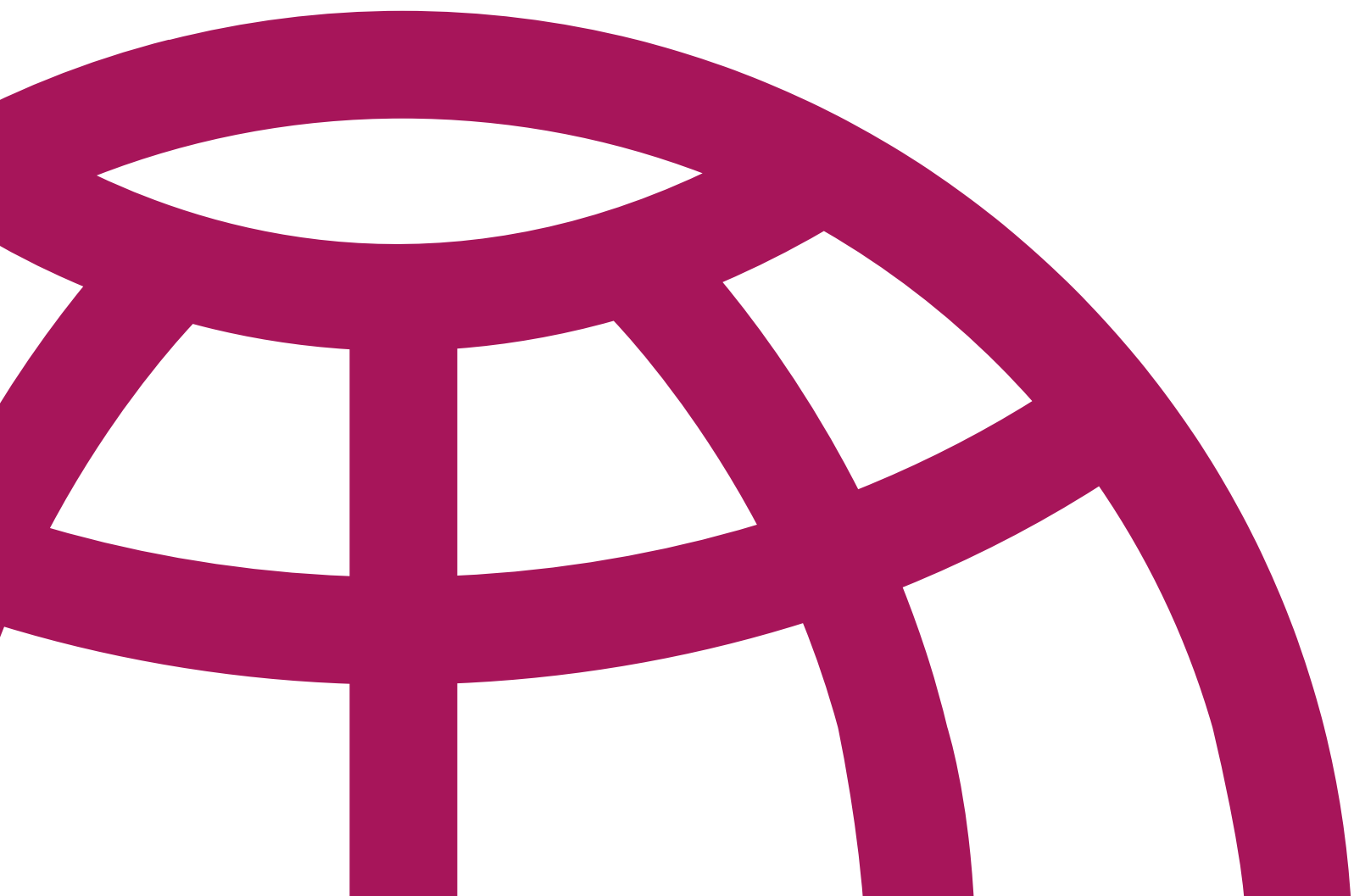
Fédération Internationale des Ingénieurs-Conseils
International Federation of Consulting Engineers
Internationale Vereinigung Beratender Ingenieure
Federación Internacional de Ingenieros Consultores

Conditions of Contract for **Construction**

FOR BUILDING AND ENGINEERING WORKS DESIGNED BY THE EMPLOYER

GENERAL CONDITIONS

GUIDANCE FOR THE PREPARATION OF PARTICULAR CONDITIONS
FORMS OF LETTER OF TENDER, CONTRACT AGREEMENT AND
DISPUTE ADJUDICATION AGREEMENT



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GUIDANCE FOR THE
PREPARATION OF
PARTICULAR CONDITIONS

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FEDERATION INTERNATIONALE DES INGENIEURS-CONSEILS
INTERNATIONAL FEDERATION OF CONSULTING ENGINEERS
INTERNATIONALE VEREINIGUNG BERATENDER INGENIEURE
FEDERACION INTERNACIONAL DE INGENIEROS CONSULTORES



ERRATA to the First Edition, 1999

The following significant errata are corrected in this reprinting of the First Edition of the Construction Contract. Several minor typographical errors and layout irregularities have also been corrected.

GENERAL PROVISIONS

Foreword	In figure “Typical sequence of Payment Events envisaged in Clause 14”, change “14.11 Contractor issues Final Statement ...” to “Contractor submits Final Statement ...”.
Page 2	In the middle of the third line of Sub-Clause 1.1.2.9, delete “under”.
Page 26	In the title of Sub-Clause 8.1, substitute “Works” for “Work”.
Page 56	In the penultimate line, delete the parentheses “(“ and “)”.
Page 60	Sub-Clause 20.3, in the line following sub-paragraph (d), delete “Particular Conditions” and substitute “Appendix to Tender”.
Page 68	In the third line of Clause 9, delete the two words “notice to”.

GUIDANCE FOR THE PREPARATION OF PARTICULAR CONDITIONS

Page 14	Under Sub-Clause 14.9, delete “EXEMPTION” and substitute “RETENTION”.
Annexes	Delete “© FIDIC”.



ACKNOWLEDGEMENTS

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The preparation was carried out under the general direction of the FIDIC Contracts Committee which comprised John B Bowcock, Consulting Engineer, UK (Chairman); Michael Mortimer-Hawkins, SwedPower, Sweden; and Axel-Volkmar Jaeger, Schmidt Reuter Partner, Germany; together with K B (Tony) Norris as Special Adviser.

Drafts were reviewed by many persons and organisations, including those listed below. Their comments were duly studied by the Update Task Group and, where considered appropriate, have influenced the wording of the clauses. Ihab Abu-Zahra, CRC – Hassan Dorra, Egypt; Mushtaq Ahmad, NESPAK, Pakistan; Peter Batty, Post Buckley International, USA; Roeland Bertrams, Clifford Chance, Netherlands; Bosen He, Tianjin University, China; Manfred Breege, Lahmeyer International, Germany; Pablo Bueno, TYPESA, Spain; Nael G Bunni, Consulting Engineer, Ireland; Peter H J Chapman, Engineer & Barrister, UK; Ian Fraser, Beca Carter Hollings & Ferner, New Zealand; Roy Goode, Oxford University, UK; Dan W Graham, Bristows Cooke & Carpmael, UK; Mark Griffiths, Griffiths & Armour, UK; Geoffrey F Hawker, Consulting Engineer, UK; Hesse & Steinberger, VDMA, Germany; Poul E Hvilsted, Elsamprojekt, Denmark; Gordon L Jaynes, Whitman Breed Abbott & Morgan, UK; Tonny Jensen (Chairman of FIDIC Quality Management Committee), COWI, Denmark; David S Khalef, Jordan; Philip Loots & Associates, South Africa; Neil McCole, Merz and McLellan, UK; Matthew Needham-Laing, Victoria Russell & Paul J Taylor, Berrymans Lace Mawer, UK; Brian W Totterdill, Consulting Engineer, UK; David R Wightman & Gerlando Butera, Nabarro Nathanson, UK; the Association of Japanese Consulting Engineers; the Construction Industry Authority of the Philippines; European International Contractors; ORGANISME de Liaison Industries Métalliques Européennes (“ORGALIME”); the International Association of Dredging Contractors; the International Bar Association; the Asian Development Bank; and the World Bank. Acknowledgement of reviewers does not mean that such persons or organizations approve of the wording of all clauses.

FIDIC wishes to record its appreciation of the time and effort devoted by all the above.

The ultimate decision on the form and content of the document rests with FIDIC.



FOREWORD

The Fédération Internationale des Ingénieurs-Conseils (FIDIC) published, in 1999, First Editions of four new standard forms of contract:

Conditions of Contract for Construction,

which are recommended for building or engineering works designed by the Employer or by his representative, the Engineer. Under the usual arrangements for this type of contract, the Contractor constructs the works in accordance with a design provided by the Employer. However, the works may include some elements of Contractor-designed civil, mechanical, electrical and/or construction works.

Conditions of Contract for Plant and Design-Build,

which are recommended for the provision of electrical and/or mechanical plant, and for the design and execution of building or engineering works. Under the usual arrangements for this type of contract, the Contractor designs and provides, in accordance with the Employer's requirements, plant and/or other works; which may include any combination of civil, mechanical, electrical and/or construction works.

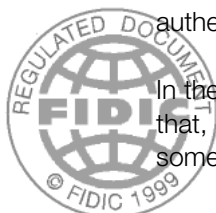
Conditions of Contract for EPC/Turnkey Projects,

which may be suitable for the provision on a turnkey basis of a process or power plant, of a factory or similar facility, or of an infrastructure project or other type of development, where (i) a higher degree of certainty of final price and time is required, and (ii) the Contractor takes total responsibility for the design and execution of the project, with little involvement of the Employer. Under the usual arrangements for turnkey projects, the Contractor carries out all the Engineering, Procurement and Construction (EPC), providing a fully-equipped facility, ready for operation (at the "turn of the key").

Short Form of Contract,

which is recommended for building or engineering works of relatively small capital value. Depending on the type of work and the circumstances, this form may also be suitable for contracts of greater value, particularly for relatively simple or repetitive work or work of short duration. Under the usual arrangements for this type of contract, the Contractor constructs the works in accordance with a design provided by the Employer or by his representative (if any), but this form may also be suitable for a contract which includes, or wholly comprises, Contractor-designed civil, mechanical, electrical and/or construction works.

The forms are recommended for general use where tenders are invited on an international basis. Modifications may be required in some jurisdictions, particularly if the Conditions are to be used on domestic contracts. FIDIC considers the official and authentic texts to be the versions in the English language.



In the preparation of these Conditions of Contract for Construction, it was recognised that, while there are many sub-clauses which will be generally applicable, there are some sub-clauses which must necessarily vary to take account of the circumstances

relevant to the particular contract. The sub-clauses which were considered to be applicable to many (but not all) contracts have been included in the General Conditions, in order to facilitate their incorporation into each contract.

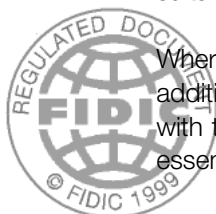
The General Conditions and the Particular Conditions will together comprise the Conditions of Contract governing the rights and obligations of the parties. It will be necessary to prepare the Particular Conditions for each individual contract, and to take account of those sub-clauses in the General Conditions which mention the Particular Conditions.

For this publication, the General Conditions were prepared on the following basis:

- (i) interim and final payments will be determined by measurement, applying the rates and prices in a Bill of Quantities;
- (ii) if the wording in the General Conditions necessitates further data, then (unless it is so descriptive that it would have to be detailed in the Specification) the sub-clause makes reference to this data being contained in the Appendix to Tender, the data either being prescribed by the Employer or being inserted by the Tenderer;
- (iii) where a sub-clause in the General Conditions deals with a matter on which different contract terms are likely to be applicable for different contracts, the principles applied in writing the sub-clause were:
 - (a) users would find it more convenient if any provisions which they did not wish to apply could simply be deleted or not invoked, than if additional text had to be written (in the Particular Conditions) because the General Conditions did not cover their requirements; or
 - (b) in other cases, where the application of (a) was thought to be inappropriate, the sub-clause contains the provisions which were considered applicable to most contracts.

For example, Sub-Clause 14.2 [*Advance Payment*] is included for convenience, not because of any FIDIC policy in respect of advance payments. This Sub-Clause becomes inapplicable (even if it is not deleted) if it is disregarded by not specifying the amount of the advance. It should therefore be noted that some of the provisions contained in the General Conditions may not be appropriate for an apparently-typical contract.

Further information on these aspects, example wording for other arrangements, and other explanatory material and example wording to assist in the preparation of the Particular Conditions and the other tender documents, are included within this publication as Guidance for the Preparation of the Particular Conditions. Before incorporating any example wording, it must be checked to ensure that it is wholly suitable for the particular circumstances; if not, it must be amended.



Where example wording is amended, and in all cases where other amendments or additions are made, care must be taken to ensure that no ambiguity is created, either with the General Conditions or between the clauses in the Particular Conditions. It is essential that all these drafting tasks, and the entire preparation of the tender

documents, are entrusted to personnel with the relevant expertise, including the contractual, technical and procurement aspects.

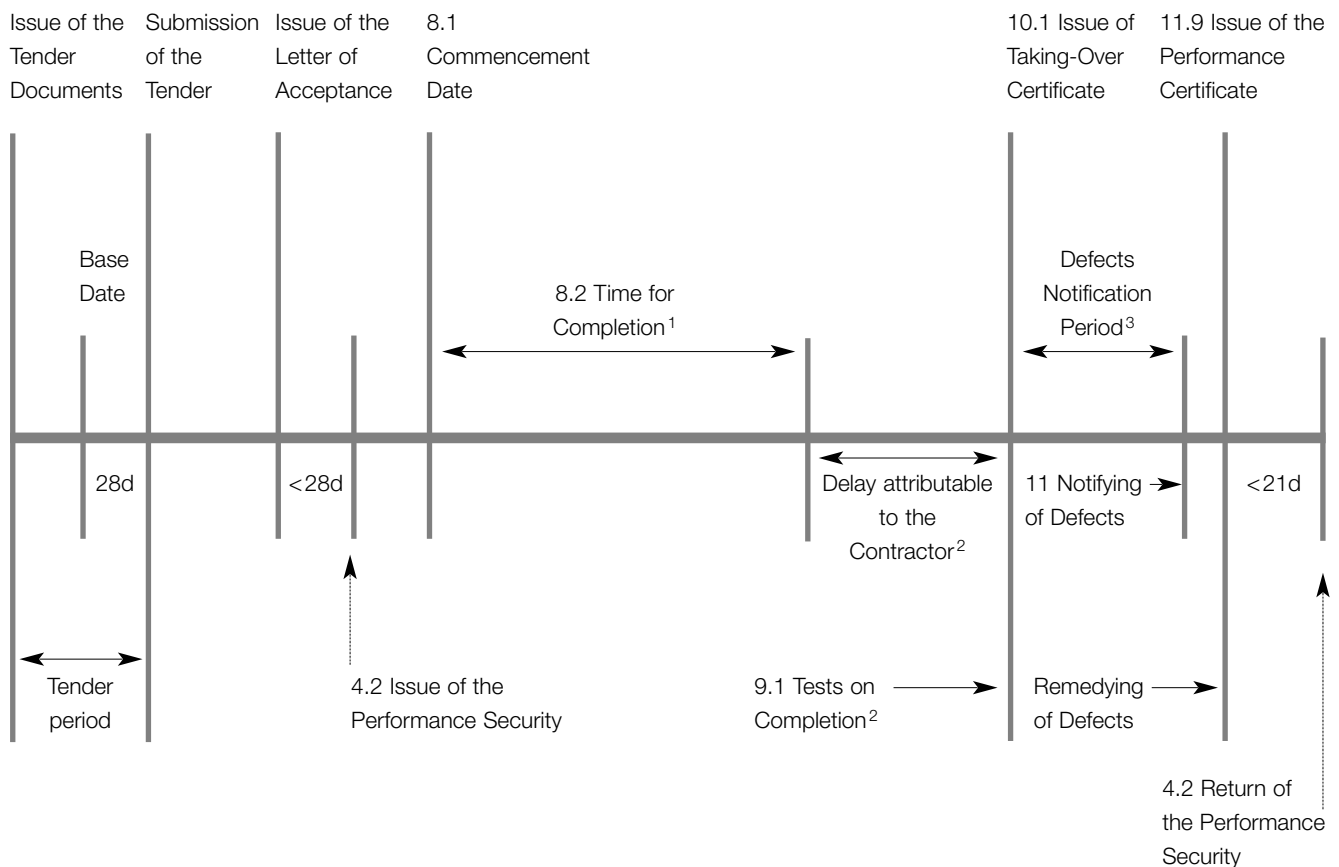
This publication concludes with example forms for the Letter of Tender, the Appendix to Tender (providing a check-list of the sub-clauses which refer to it), the Contract Agreement, and alternatives for the Dispute Adjudication Agreement. This Dispute Adjudication Agreement provides text for the agreement between the Employer, the Contractor and the person appointed to act either as sole adjudicator or as a member of a three-person dispute adjudication board; and incorporates (by reference) the terms in the Appendix to the General Conditions.

FIDIC intends to publish a guide to the use of its Conditions of Contract for Construction, for Plant and Design-Build, and for EPC/Turnkey Projects. Another relevant FIDIC publication is "Tendering Procedure", which presents a systematic approach to the selection of tenderers and the obtaining and evaluation of tenders.

In order to clarify the sequence of Contract activities, reference may be made to the charts on the next two pages and to the Sub-Clauses listed below (some Sub-Clause numbers are also stated in the charts). The charts are illustrative and must not be taken into consideration in the interpretation of the Conditions of Contract.

1.1.3.1	&	13.7	Base Date
1.1.3.2	&	8.1	Commencement Date
1.1.6.6	&	4.2	Performance Security
1.1.4.7	&	14.3	Interim Payment Certificate
1.1.3.3	&	8.2	Time for Completion (as extended under 8.4)
1.1.3.4	&	9.1	Tests on Completion
1.1.3.5	&	10.1	Taking-Over Certificate
1.1.3.7	&	11.1	Defects Notification Period (as extended under 11.3)
1.1.3.8	&	11.9	Performance Certificate
1.1.4.4	&	14.13	Final Payment Certificate

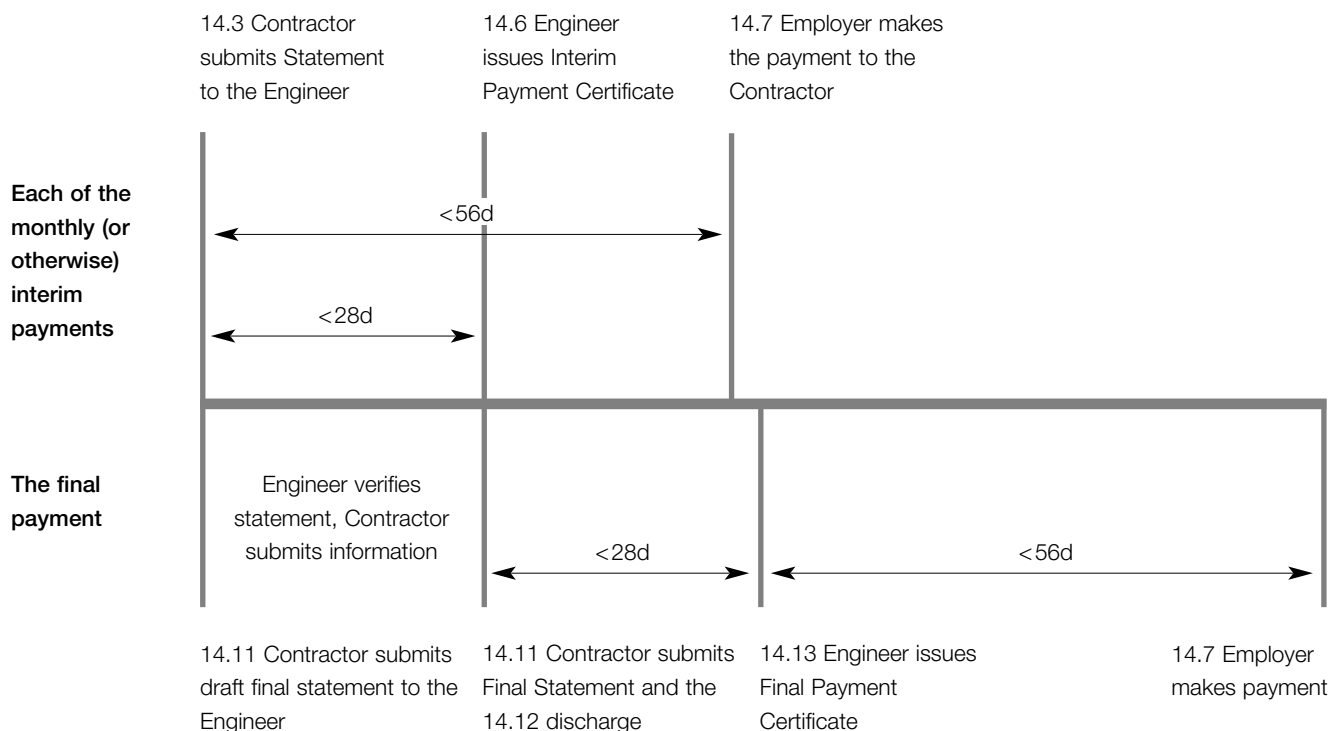




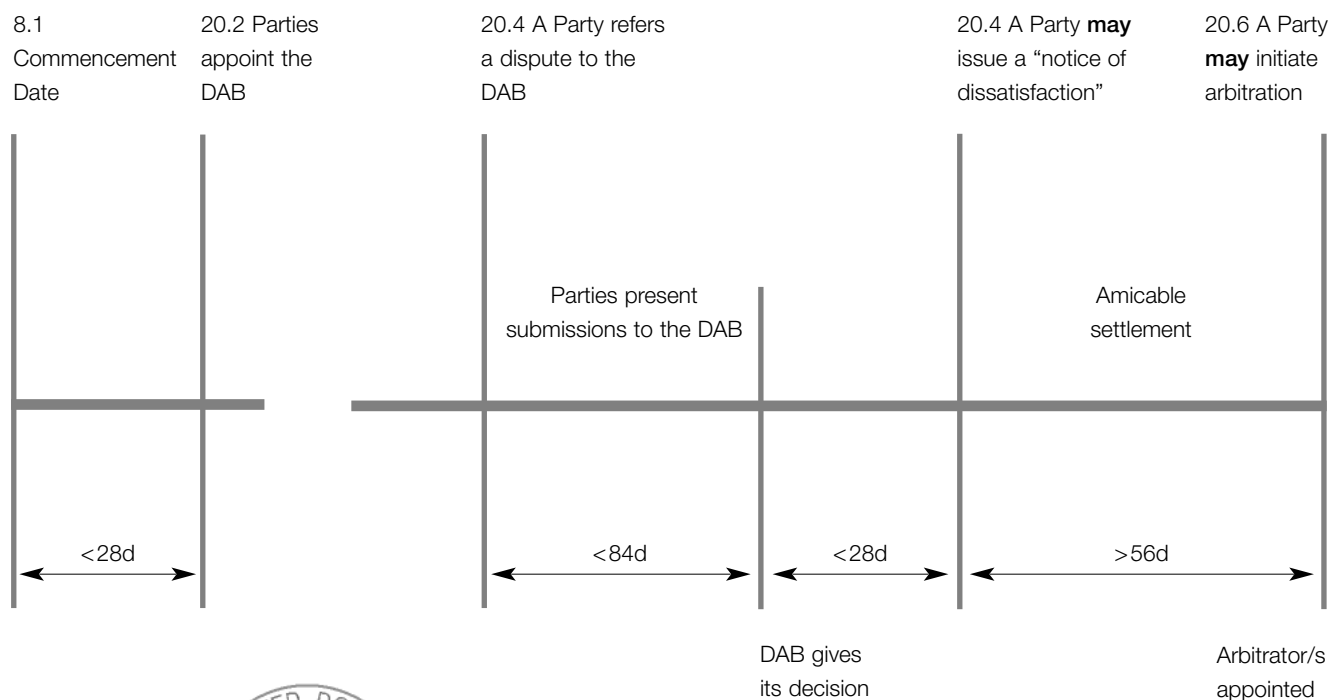
Typical sequence of Principal Events during Contracts for Construction

1. The Time for Completion is to be stated (in the Appendix to Tender) as a number of days, to which is added any extensions of time under Sub-Clause 8.4.
2. In order to indicate the sequence of events, the above diagram is based upon the example of the Contractor failing to comply with Sub-Clause 8.2.
3. The Defects Notification Period is to be stated (in the Appendix to Tender) as a number of days, to which is added any extensions under Sub-Clause 11.3





Typical sequence of Payment Events envisaged in Clause 14



Typical sequence of Dispute Events envisaged in Clause 20



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FORMS OF LETTER OF
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General Conditions

See separate document

1st Edition 1999

FEDERATION INTERNATIONALE DES INGENIEURS-CONSEILS
INTERNATIONAL FEDERATION OF CONSULTING ENGINEERS
INTERNATIONALE VEREINIGUNG BERATENDER INGENIEURE
FEDERACION INTERNACIONAL DE INGENIEROS CONSULTORES



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Guidance for the Preparation of Particular
Conditions



Guidance for the Preparation of Particular Conditions

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Guidance for the Preparation of Particular Conditions

INTRODUCTION

The terms of the Conditions of Contract for Construction have been prepared by the Fédération Internationale des Ingénieurs-Conseils (FIDIC) and are recommended for general use for the purpose of the construction (excluding most design) of building or engineering works where tenders are invited on an international basis. Modifications to the Conditions may be required in some legal jurisdictions, particularly if they are to be used on domestic contracts.

Under the usual arrangements for this type of contract, the Contractor constructs the works in accordance with design details provided by the Employer or his representative, the Engineer. Although these Conditions allow for the possibility that the Contractor may be required to design parts of the permanent works, they are not intended for use where most of the works are designed by the Contractor. For these Works, it would be more appropriate to utilise FIDIC's Conditions of Contract for Plant and Design-Build or Conditions of Contract for EPC/Turnkey Projects.

The guidance hereafter is intended to assist writers of the Particular Conditions by giving options for various sub-clauses where appropriate. As far as possible, example wording is included, between lines. In some cases, however, only an aide-memoire is given.

Before incorporating any example wording, it must be checked to ensure that it is wholly suitable for the particular circumstances. Unless it is considered suitable, example wording should be amended before use.

Where example wording is amended, and in all cases where other amendments or additions are made, care must be taken to ensure that no ambiguity is created, either with the General Conditions or between the clauses in the Particular Conditions.

In the preparation of the Conditions of Contract to be included in the tender documents for a contract, the following text can be used:

The Conditions of Contract comprise the "General Conditions", which form part of the "Conditions of Contract for Construction" First Edition 1999 published by the Fédération Internationale des Ingénieurs-Conseils (FIDIC), and the following "Particular Conditions", which include amendments and additions to such General Conditions.

There are no Sub-Clauses in the General Conditions which require data to be included in the Particular Conditions. As noted in sub-paragraph (ii) of the Foreword, the General Conditions refer to any necessary data being contained in the Appendix to Tender or (for technical matters) in the Specification.

FIDIC has published a document entitled "Tendering Procedure" which presents a systematic approach to the selection of tenderers and the obtaining and evaluation of tenders; the second edition was published in 1994. The document is intended to assist the Employer to receive sound competitive tenders with a minimum of qualifications. FIDIC intends to update Tendering Procedure and to publish a guide to the use of these Conditions of Contract for Construction.

Notes on the Preparation of Tender Documents

The tender documents should be prepared by suitably-qualified engineers who are familiar with the technical aspects of the required works, and a review by suitably-qualified lawyers may be advisable. The tender documents issued to tenderers will consist of the Conditions of Contract, the Specification, the Drawings, and the Letter of Tender and Schedules for completion by the Tenderer. For this type of contract, where the Works are valued by measurement, the Bill of Quantities will usually be the most important Schedule. A Daywork Schedule may also be necessary, to cover minor works to be evaluated at cost. In addition, each of the Tenderers should receive the data referred to in Sub-Clause 4.10, and the Instructions to Tenderers to advise them of any special matters which the Employer wishes them to take into account when pricing the Bill of Quantities but which are not to form part of the Contract. When the Employer accepts the Letter of Tender, the Contract (which then comes into full force and effect) includes these completed Schedules.

The Specification may include the matters referred to in some or all of the following Sub-Clauses:

- 1.8 Requirements for Contractor's Documents
- 1.13 Permissions being obtained by the Employer
- 2.1 Phased possession of foundations, structures, plant or means of access
- 4.1 Contractor's designs
- 4.6 Other contractors (and others) on the Site
- 4.7 Setting-out points, lines and levels of reference
- 4.14 Third parties
- 4.18 Environmental constraints
- 4.19 Electricity, water, gas and other services available on the Site
- 4.20 Employer's Equipment and free-issue material
- 5.1 Nominated Subcontractors
- 6.6 Facilities for Personnel
- 7.2 Samples
- 7.4 Testing during manufacture and/or construction
- 9.1 Tests on Completion
- 13.5 Provisional Sums

Many Sub-Clauses in the General Conditions make reference to data being contained in the Appendix to Tender, providing a convenient location for the data which is usually required. The example form in this publication thus provides a check-list of the data required; but there is no indication, either in the General Conditions or in the example Appendix to Tender, that this data is either prescribed by the Employer or inserted by the Tenderer. The Employer should prepare the Appendix to Tender, based on this example form, with the elements completed to the extent of his requirements.

The Employer may also require other data from Tenderers, and include a questionnaire in the Schedules.

The Instructions to Tenderers may need to specify any constraints on the completion of the Appendix to Tender and/or Schedules, and/or specify the extent of other information which each Tenderer is to include with his Tender. If each Tenderer is to produce a parent company guarantee and/or a tender security, these requirements (which apply prior to the Contract becoming effective) should be included in the Instructions to Tenderers: example forms are annexed to this document as Annexes A and B. The Instructions may include matters referred to in some or all of the following Sub-Clauses:

- 4.3 Contractor's Representative (name and curriculum vitae)
- 4.9 Quality Assurance system
- 9.1 Tests on Completion
- 18 Insurances
- 20 Resolution of disputes



Clause 1

General Provisions

Sub-Clause 1.1 Definitions

It may be necessary to amend some of the definitions. For example:

- 1.1.3.1 the Base Date could be defined as a particular calendar date
- 1.1.4.6 one particular Foreign Currency may be required by the financing institution
- 1.1.4.8 a different currency may be required to be the contract Local Currency
- 1.1.6.2 the references to "Country" may be inappropriate for a cross-border Site

Sub-Clause 1.2 Interpretation

If the references to "profit" are to be more precisely specified, this Sub-Clause may be varied:

EXAMPLE	At the end of Sub-Clause 1.2, insert: In these Conditions, provisions including the expression "Cost plus reasonable profit" require this profit to be one-twentieth (5%) of this Cost.
---------	--

Sub-Clause 1.5 Priority of Documents

An order of precedence is usually necessary, in case a conflict is subsequently found among the contract documents. If no order of precedence is to be prescribed, this Sub-Clause may be varied:

EXAMPLE	Delete Sub-Clause 1.5 and substitute: The documents forming the Contract are to be taken as mutually explanatory of one another. If an ambiguity or discrepancy is found, the priority shall be such as may be accorded by the governing law. The Engineer has authority to issue any instruction which he considers necessary to resolve an ambiguity or discrepancy.
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Sub-Clause 1.6 Contract Agreement

The form of Agreement should be included in the tender documents as an annex to the Particular Conditions: an example form is included at the end of this publication. If lengthy tender negotiations were necessary, it may be considered advisable for the Contract Agreement to record the Accepted Contract Amount, Base Date and/or Commencement Date. Entry into an Agreement may be necessary under applicable law.

Sub-Clause 1.14 Joint and Several Liability

For a major contract, detailed requirements for the joint venture may need to be specified. For example, it may be desirable for each member to produce a parent company guarantee: an example form is annexed to this document as Annex A.

These requirements, which apply prior to the Contract becoming effective, should be included in the Instructions to Tenderers. The Employer will wish the leader of the joint venture to be appointed at an early stage, providing a single point of contact thereafter, and will not wish to be involved in a dispute between the members of a joint venture. The Employer should scrutinise the



joint venture agreement carefully, and it may have to be approved by the project's financing institutions.

Additional Sub-Clause Details to be Confidential

If confidentiality is required, an additional sub-clause may be added:

EXAMPLE SUB-CLAUSE

The Contractor shall treat the details of the Contract as private and confidential, except to the extent necessary to carry out obligations under it or to comply with applicable Laws. The Contractor shall not publish, permit to be published, or disclose any particulars of the Works in any trade or technical paper or elsewhere without the previous agreement of the Employer.

Clause 2 The Employer

Sub-Clause 2.1 Right of Access to the Site

If right of access cannot be granted, both early and thereafter exclusively, details should be given in the Specification.

Sub-Clause 2.3 Employer's Personnel

These provisions should be reflected in the Employer's contracts with any other contractors on the Site.

Clause 3 The Engineer

Sub-Clause 3.1 Engineer's Duties and Authority

Any requirements for Employer's approval should be set out in the Particular Conditions:

EXAMPLE

The Engineer shall obtain the specific approval of the Employer before taking action under the following Sub-Clauses of these Conditions:

- (a) Sub-Clause _____ **
- (b) Sub-Clause _____ **

** (insert number; describe action, unless all require approval)

This list should be extended or reduced as necessary. If the obligation to obtain the approval of the Employer only applies beyond certain limits, financial or otherwise, the example wording should be varied.

Additional Sub-Clause Management Meetings

EXAMPLE SUB-CLAUSE

The Engineer or the Contractor's Representative may require the other to attend a management meeting in order to review the arrangements for future work. The Engineer shall record the business of management meetings and supply copies of the record to those attending the meeting



except: example text between lines may be copied

and to the Employer. In the record, responsibilities for any actions to be taken shall be in accordance with the Contract.

Clause 4

The Contractor

Sub-Clause 4.1

Contractor's General Obligations

Occasionally, there may be an item of Temporary Works for which the Contractor will not be fully responsible. For example, the Contract may specify temporary arrangements for river diversion which have been designed by the Engineer. In these cases, the Sub-Clause may require amendment, taking account of the type of this item of Temporary Works, and of the extent of the Employer's responsibility.

Sub-Clause 4.2

Performance Security

The acceptable form(s) of Performance Security should be included in the tender documents, annexed to the Particular Conditions. Example forms are annexed to this document as Annex C and Annex D. They incorporate two sets of Uniform Rules published by the International Chamber of Commerce (the "ICC", which is based at 38 Cours Albert 1er, 75008 Paris, France), which also publishes guides to these Uniform Rules. These example forms and the wording of the Sub-Clause may have to be amended to comply with applicable law.

EXAMPLE

At the end of the second paragraph of Sub-Clause 4.2, insert:

If the Performance Security is in the form of a bank guarantee, it shall be issued either (a) by a bank located in the Country, or (b) directly by a foreign bank acceptable to the Employer. If the Performance Security is not in the form of a bank guarantee, it shall be furnished by a financial entity registered, or licensed to do business, in the Country.

Sub-Clause 4.3

Contractor's Representative

If the Representative is known at the time of submission of the Tender, the Tenderer may propose the Representative. The Tenderer may wish to propose alternatives, especially if the contract award seems likely to be delayed. If the ruling language is not the same as the language for day to day communications (under Sub-Clause 1.4), or if for any other reason it is necessary to stipulate that the Contractor's Representative shall be fluent in a particular language, one of the following sentences may be added.

EXAMPLE

At the end of Sub-Clause 4.3, add:

The Contractor's Representative and all these persons shall also be fluent in _____ (insert name of language)

EXAMPLE

At the end of Sub-Clause 4.3, add:

If the Contractor's Representative, or these persons, is not fluent in _____ (insert name of language), the Contractor shall make a competent interpreter available during all working hours.

Sub-Clause 4.4

Subcontractors

The wording in the General Conditions includes the conditions which will usually be applicable. If less (or no) consent is required, some (or all) of sub-paragraphs (a) to (d) may be deleted, or qualified in the Particular Conditions:

except: example text between lines may be copied

EXAMPLE

Prior consent shall not be required if the value of the subcontract is less than 0.01% of the Accepted Contract Amount.

A sentence may be added to increase the extent to which consent is required:

EXAMPLE

The prior consent of the Engineer shall be obtained to the suppliers of the following Materials:

(insert details: for example, specific manufactured or prefabricated items)

A sentence may be added in order to encourage the Contractor to use local contractors:

EXAMPLE

Where practicable, the Contractor shall give a fair and reasonable opportunity for contractors from the Country to be appointed as Sub-contractors.

Sub-Clause 4.8 Safety Procedures

If the Contractor is sharing occupation of the Site with others, it may not be appropriate for him to provide some of the listed items. In these circumstances, the Employer's obligations should be specified.

Sub-Clause 4.9 Quality Assurance

The wording in the General Conditions imposes the requirement of a quality assurance system in accordance with details specified in the Contract. If inappropriate, this Sub-Clause may be deleted.

Sub-Clause 4.12 Unforeseeable Physical Conditions

In the case of major sub-surface works, the allocation of the risk of sub-surface conditions is an aspect which should be considered when tender documents are being prepared. If this risk is to be shared between the parties, the Sub-Clause may be amended:

EXAMPLE

Delete sub-paragraph (b) of Sub-Clause 4.12 and substitute:

(b) payment for any such Cost, _____ per cent (_____ %) of which shall be included in the Contract Price (the balance _____ percent of the Cost shall be borne by the Contractor).

Sub-Clause 4.17 Contractor's Equipment

If the Contractor is not to provide all the Contractor's Equipment necessary to complete the Works, the Employer's obligations should be specified: see Sub-Clause 4.20. If vesting of Contractor's Equipment is required, further paragraphs may be added, subject to their being consistent with applicable laws:

EXAMPLE

At the end of Sub-Clause 4.17, add the following paragraphs:

Contractor's Equipment which is owned by the Contractor (either directly or indirectly) shall be deemed to be the property of the Employer with effect from its arrival on the Site. This vesting of property shall not:



- (a) affect the responsibility or liability of the Employer,
- (b) prejudice the right of the Contractor to the sole use of the vested Contractor's Equipment for the purpose of the Works, or
- (c) affect the Contractor's responsibility to operate and maintain Contractor's Equipment.

The property in each item shall be deemed to revert in the Contractor when he is entitled either to remove it from the Site or to receive the Taking-Over Certificate for the Works, whichever occurs first.

Sub-Clause 4.19 Electricity, Water and Gas

If services are to be available for the Contractor to use, the Specification should give details, including locations and prices.

Sub-Clause 4.20 Employer's Equipment and Free-Issue Material

For this Sub-Clause to apply, the Specification should describe each item which the Employer will provide and/or operate and should specify all necessary details. With some types of facilities, further provisions may be necessary, in order to clarify aspects such as liability and insurance.

Sub-Clause 4.22 Security of the Site

If the Contractor is sharing occupation of the Site with others, it may not be appropriate for him to be responsible for its security. In these circumstances, the Employer's obligations should be specified.

Clause 5 Nominated Subcontractors

In most cases under Sub-Clause 4.4, the Contractor selects Subcontractors, subject to any constraints specified in the Contract. Clause 5 provides for the particular situation whereby the Employer may select a Subcontractor, although the second sentence of Sub-Clause 4.4 should still apply.

The sub-paragraphs of Sub-Clause 5.2 indicate some of the problems which may have to be overcome.

If a nominated Subcontractor is to be required, full details should be included in the tender documents. If the Employer anticipates that a Subcontractor is to be instructed under Clause 13 but is not to be a nominated Subcontractor, Clause 5 should be amended, describing the particular circumstances.

Clause 6 Staff and Labour

Sub-Clause 6.5 Working Hours

If the Employer does not wish to specify working hours in the Appendix to Tender, or to restrict them to the times specified by the Tenderer (in order to plan the Engineer's supervision, for example), this Sub-Clause may be deleted.

Sub-Clause 6.6 Facilities for Staff and Labour

If the Employer will make some accommodation available, his obligations to do so should be specified.



Sub-Clause 6.8

Contractor's Superintendence

If the ruling language is not the same as the language for day to day communications (under Sub-Clause 1.4), or if for any other reason it is necessary to stipulate that the Contractor's superintending staff shall be fluent in a particular language, the following sentence may be added.

EXAMPLE

Insert at the end of Sub-Clause 6.8:

A reasonable proportion of the Contractor's superintending staff shall have a working knowledge of

(insert name of language),

or the Contractor shall have a sufficient number of competent interpreters available on Site during all working hours.

Additional Sub-Clauses

It may be necessary to add a few sub-clauses to take account of the circumstances and locality of the Site:

EXAMPLE SUB-CLAUSE

Foreign Staff and Labour

The Contractor may import any personnel who are necessary for the execution of the Works. The Contractor must ensure that these personnel are provided with the required residence visas and work permits. The Contractor shall be responsible for the return to the place where they were recruited or to their domicile of imported Contractor's Personnel. In the event of the death in the Country of any of these personnel or members of their families, the Contractor shall similarly be responsible for making the appropriate arrangements for their return or burial.

EXAMPLE SUB-CLAUSE

Measures against Insect and Pest Nuisance

The Contractor shall at all times take the necessary precautions to protect all staff and labour employed on the Site from insect and pest nuisance, and to reduce their danger to health. The Contractor shall provide suitable prophylactics for the Contractor's Personnel and shall comply with all the regulations of the local health authorities, including use of appropriate insecticide.

EXAMPLE SUB-CLAUSE

Alcoholic Liquor or Drugs

The Contractor shall not, otherwise than in accordance with the Laws of the Country, import, sell, give, barter or otherwise dispose of any alcoholic liquor or drugs, or permit or allow importation, sale, gift, barter or disposal by Contractor's Personnel.



EXAMPLE SUB-CLAUSE

Arms and Ammunition

The Contractor shall not give, barter or otherwise dispose of to any person, any arms or ammunition of any kind, or allow Contractor's Personnel to do so.

EXAMPLE SUB-CLAUSE

Festivals and Religious Customs

The Contractor shall respect the Country's recognised festivals, days of rest and religious or other customs.

Clause 7

Plant, Materials and Workmanship

Additional Sub-Clause

If the Contract is being financed by an institution whose rules or policies require a restriction on the use of its funds, a further sub-clause may be added:

EXAMPLE SUB-CLAUSE

All Goods shall have their origin in eligible source countries as defined in

(insert name of published guidelines for procurement).

Goods shall be transported by carriers from these eligible source countries, unless exempted by the Employer in writing on the basis of potential excessive costs or delays. Surety, insurance and banking services shall be provided by insurers and bankers from the eligible source countries.

Clause 8

Commencement, Delays and Suspension

Sub-Clause 8.2

Time for Completion

If the Works are to be taken-over in stages, these stages should be defined as Sections, in the Appendix to Tender.

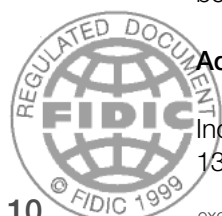
Sub-Clause 8.7

Delay Damages

Under many legal systems, the amount of these pre-defined damages must represent a reasonable pre-estimate of the Employer's probable loss in the event of delay. If the Accepted Contract Amount is to be quoted as the sum of figures in more than one currency, it may be preferable to define these damages (per day) as the percentage reduction which would be applied to each of these figures. If the Accepted Contract Amount is expressed in the Local Currency, the damages per day may either be defined as a percentage or be defined as a figure in Local Currency: see Sub-Clause 14.15(b).

Additional Sub-Clause

Incentives for early completion may be included in the tender documents (although Sub-Clause 13.2 refers to accelerated completion):



EXAMPLE SUB-CLAUSE

Sections are required to be completed by the dates given in the Appendix to Tender in order that these Sections may be occupied and used by the Employer in advance of the completion of the whole of the Works. Details of the work required to be executed to entitle the Contractor to bonus payments and the amount of the bonuses are stated in the Specification.

For the purposes of calculating bonus payments, the dates given in the Appendix to Tender for completion of Sections are fixed. No adjustments of the dates by reason of granting an extension of the Time for Completion will be allowed.

Clause 9

Tests on Completion

Sub-Clause 9.1

Contractor's Obligations

The Specification should describe the tests which the Contractor is to carry out before being entitled to a Taking-Over Certificate. If the Works are to be tested and taken-over in stages, the tests requirements may have to take account of the effect of some parts of the Works being incomplete.

Clause 10

Employer's Taking Over

Sub-Clause 10.1

Taking-Over Certificate

If the Works are to be taken-over in stages, these stages should to be defined as Sections, in the Appendix to Tender. Precise geographical definitions are advisable, and the Appendix should include a table, so as to define the Time for Completion and delay damages: the table is shown in the example Appendix.

Clause 11

Defects Liability

Sub-Clause 11.10

Unfulfilled Obligations

It may be necessary to review this Sub-Clause for the period of liability imposed by the applicable law.

Clause 12

Measurement and Evaluation

Sub-Clause 12.1

Works to be Measured

If any part of the Permanent Works is to be measured according to records of its construction, details should be specified in the tender documents, including any records for which the Contractor is to be responsible.

Clause 13

Variations and Adjustments



Variations can be initiated by any of three ways:

- (a) the Engineer may instruct the variation under Sub-Clause 13.1, without prior agreement as to feasibility or price;

except: example text between lines may be copied

- (b) the Contractor may initiate his own proposals under Sub-Clause 13.2, which are intended to benefit both Parties; or
- (c) the Engineer may request a proposal under Sub-Clause 13.3, seeking prior agreement so as to minimise dispute.

Sub-Clause 13.8 Adjustments for Changes in Cost

These provisions for adjustments may be required if it would be unreasonable for the Contractor to bear the risk of escalating costs due to inflation. Unless this Sub-Clause is not to apply, the Appendix to Tender should include a table for each of the currencies of payment: the appropriate table is shown in the example Appendix. Particular care should be taken in the calculation of the weightings/coefficients ("a", "b", "c", ..., the total of which must not exceed unity) and in the selection and verification of cost indices. Expert advice may be appropriate.

Clause 14 Contract Price and Payment

Sub-Clause 14.1 The Contract Price

When writing the Particular Conditions, consideration should be given to the amount and timing of payment(s) to the Contractor. A positive cash flow is clearly of benefit to the Contractor, and tenderers will take account of the interim payment procedures when preparing their tenders.

Additional Sub-Clauses may be required to cover any exceptions to the options set out in Sub-Clause 14.1, and any other matters relating to payment.

Cost-plus contracts, under which the actual Costs are determined and paid, are unusual and only used when (for reasons of urgency or otherwise) the Employer is willing to accept the risks involved. If the Contractor is to be paid actual Costs, Clause 12 should be replaced by provisions describing the method of determining the Costs and Contract Price. As a result, the provisions in the General Conditions which entitle the Contractor to payment of additional Costs will generally be of no effect.

Sub-Clause 14.1(a) would not apply if payment is to be made on a lump sum basis.

Lump sum contracts may be suitable if the tender documents include details which are sufficiently complete for construction and for Variations to be unlikely. From the information supplied in the tender documents, the Contractor can prepare any other details necessary, and construct the Works, without having to refer back to the Engineer for clarification or further information.

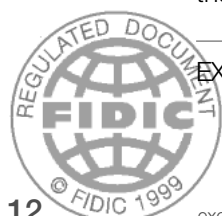
Further design by the Contractor (under sub-paragraphs (a) to (d) of Sub-Clause 4.1) is not precluded. However, these Conditions would be inappropriate if significant design input by the Contractor is required. In those cases, FIDIC's other forms may be more appropriate: see FIDIC's Conditions of Contract for Plant and Design-Build or Conditions of Contract for EPC/Turnkey Projects.

For a lump sum contract, the tender documents should include a schedule of payments (see Sub-Clause 14.4), and any drawings required for construction may be specified as being Contractor's Documents. The Specification should describe the procedures under which the Contractor submits these Documents for the Engineer to approve.

EXAMPLE PROVISIONS FOR A LUMP SUM CONTRACT

Delete Clause 12.

Delete the last sentence of Sub-Clause 13.3 and substitute:



Upon instructing or approving a Variation, the Engineer shall proceed in accordance with Sub-Clause 3.5 to agree or determine adjustments to the Contract Price and to the schedule of payments under Sub-Clause 14.4. These adjustments shall include reasonable profit, and shall take account of the Contractor's submissions under Sub-Clause 13.2 if applicable.

Delete sub-paragraph (a) of Sub-Clause 14.1 and substitute:

- (a) the Contract Price shall be the lump sum Accepted Contract Amount and be subject to adjustments in accordance with the Contract;

If Sub-Clause 14.1(b) is not to apply, additional Sub-Clause(s) should be added.

EXAMPLE SUB-CLAUSE ON EXEMPTION FROM DUTIES

All Goods imported by the Contractor into the Country shall be exempt from customs and other import duties, if the Employer's prior written approval is obtained for import. The Employer shall endorse the necessary exemption documents prepared by the Contractor for presentation in order to clear the Goods through Customs, and shall also provide the following exemption documents:

(describe the necessary documents, which the Contractor will be unable to prepare)

If exemption is not then granted, the customs duties payable and paid shall be reimbursed by the Employer.

All imported Goods, which are not incorporated in or expended in connection with the Works, shall be exported on completion of the Contract. If not exported, the Goods will be assessed for duties as applicable to the Goods involved in accordance with the Laws of the Country.

However, exemption may not available for:

- (a) Goods which are similar to those locally produced, unless they are not available in sufficient quantities or are of a different standard to that which is necessary for the Works; and
- (b) any element of duty or tax inherent in the price of goods or services procured in the Country, which shall be deemed to be included in the Accepted Contract Amount.

Port dues, quay dues and, except as set out above, any element of tax or duty inherent in the price of goods or services shall be deemed to be included in the Accepted Contract Amount.

EXAMPLE SUB-CLAUSE ON EXEMPTION FROM TAXES



Expatriate (foreign) personnel shall not be liable for income tax levied in the Country on earnings paid in any foreign currency, or for income tax levied on subsistence, rentals and similar services directly furnished by the Contractor to Contractor's Personnel, or for allowances in lieu. If any

Contractor's Personnel have part of their earnings paid in the Country in a foreign currency, they may export (after the conclusion of their term of service on the Works) any balance remaining of their earnings paid in foreign currencies.

The Employer shall seek exemption for the purposes of this Sub-Clause. If it is not granted, the relevant taxes paid shall be reimbursed by the Employer.

Sub-Clause 14.2 Advance Payment

When writing the Particular Conditions, consideration should be given to the benefits of advance payment(s). Unless this Sub-Clause is not to apply, the total advance payment (and the number of instalments if more than one) must be specified in the Appendix to Tender. The rate of deduction for the repayments should be checked to ensure that repayment is achieved before completion. The typical figures in sub-paragraphs (a) and (b) of the General Conditions Sub-Clause are based on the assumption that the total advance payment is less than 22% of the Accepted Contract Amount.

The acceptable form(s) of guarantee should be included in the tender documents, annexed to the Particular Conditions: an example form is annexed to this document, as Annex E.

Sub-Clause 14.7 Payment

If a different period for payment is to apply, the Sub-Clause may be amended:

EXAMPLE

In sub-paragraph (b) of Sub-Clause 14.7, delete "56" and substitute "42"

If the country/countries of payment need to be specified, details may be included in a Schedule.

Sub-Clause 14.8 Delayed Payment

If the discount rate of the central bank in the country of the currency of payment is not a reasonable basis for assessing the Contractor's financing costs, a new rate may have to be defined. Alternatively, the actual financing Costs could be paid, taking account of local financing arrangements.

Sub-Clause 14.9 Payment of Retention Money

If part of the Retention Money is to be released and substituted by an appropriate guarantee, an additional Sub-Clause may be added. The acceptable form(s) of guarantee should be included in the tender documents, annexed to the Particular Conditions: an example form is annexed to this document, as Annex F.

EXAMPLE SUB-CLAUSE FOR RELEASE OF RETENTION

When the Retention Money has reached three-fifths (60%) of the limit of Retention Money stated in the Appendix to Tender, the Engineer shall certify and the Employer shall make payment of half (50%) of the limit of Retention Money to the Contractor if he obtains a guarantee, in a form and provided by an entity approved by the Employer, in amounts and currencies equal to the payment.

The Contractor shall ensure that the guarantee is valid and

enforceable until the Contractor has executed and completed the Works and remedied any defects, as specified for the Performance Security in Sub-Clause 4.2, and shall be returned to the Contractor accordingly. This release of retention shall be in lieu of the release of the second half of the Retention Money under the second paragraph of Sub-Clause 14.9.

Sub-Clause 14.15 Currencies of Payment

If all payments are to be made in Local Currency, it must be named in the Letter of Tender, and only the first sentence of this Sub-Clause will apply. Alternatively, the Sub-Clause may then be replaced:

EXAMPLE SUB-CLAUSE FOR A SINGLE CURRENCY CONTRACT

The currency of account shall be the Local Currency and all payments made in accordance with the Contract shall be in Local Currency. The Local Currency payments shall be fully convertible, except those for local costs. The percentage attributed to local costs shall be as stated in the Appendix to Tender.

Financing Arrangements

For major contracts in some markets, there may be a need to secure finance from entities such as aid agencies, development banks, export credit agencies, or other international financing institutions. If financing is to be procured from any of these sources, the Particular Conditions may need to incorporate its special requirements. The exact wording will depend on the relevant institution, so reference will need to be made to them to ascertain their requirements, and to seek approval of the draft tender documents.

These requirements may include tendering procedures which need to be adopted in order to render the eventual contract eligible for financing, and/or special Sub-Clauses which may need to be incorporated into the Particular Conditions. The following examples indicate some of the topics which the institution's requirements may cover:

- (a) prohibition from discrimination against the shipping companies of any one country;
- (b) ensuring that the Contract is subject to a widely-accepted neutral law;
- (c) provision for arbitration under recognised international rules and at a neutral location;
- (d) giving the Contractor the right to suspend/terminate in the event of default under the financing arrangements;
- (e) restricting the right to reject Plant;
- (f) specifying the payments due in the event of termination;
- (g) specifying that the Contract does not become effective until certain conditions precedent have been satisfied, including pre-disbursement conditions for the financing arrangements; and
- (h) obliging the Employer to make payments from his own resources if, for any reason, the funds under the financing arrangements are insufficient to meet the payments due to the Contractor, whether due to a default under the financing arrangements or otherwise.

In addition, the financing institution or bank may wish the Contract to include references to the financing arrangements, especially if funding from more than one source is to be arranged to



except: example text between lines may be copied

finance different elements of supply. It is not unusual for the Particular Conditions to include special provisions identifying different categories of Plant and specifying the documents to be presented to the relevant financing institution to obtain payment. If the financing institution's requirements are not met, it may be difficult (or even impossible) to secure suitable financing for the project, and/or the institution may decline to provide finance for part or all of the Contract.

However, where the financing is not tied to the export of goods and services from any particular country but is simply provided by commercial banks lending to the Employer, those banks may be concerned to ensure that the Contractor's rights are very restricted. These banks may wish the Contract to exclude any reference to the financing arrangements, and/or to restrict the Contractor's rights under Clause 16.

FORM OF SUB-CLAUSE WHICH A FINANCING INSTITUTION MAY REQUIRE

The Accepted Contract Amount is made up as follows:

(breakdown into items and/or into supply/delivery/etc)

and shall be payable by the Employer to the Contractor as set out below.

(a) _____ % of the Accepted Contract Amount shall be payable by a direct payment from the Employer to the Contractor within 28 days of receipt by the Employer of the following documents:

- (i) commercial invoice addressed to the Employer specifying the amount of the payment now due,
- (ii) advance payment security guarantee issued by _____ Bank in the form annexed,
- (iii) performance security guarantee issued by _____ Bank in the form annexed, and
- (iv) Interim Payment Certificate confirming the payment due and specifying the amount.

(b) _____ % of the contract price for the supply of Plant shall be payable as follows:

- (i) _____ % of the estimated contract value of the Plant supplied, by direct payment from the Employer to the Contractor on shipment of each item, against the following documents:
 - (original) commercial invoice,
 - (original) shipping documents,
 - (original) certificate of origin,
 - (original) insurance certificate, and
 - (original) Interim Payment Certificate confirming the payment due and specifying the amount.
- (ii) _____ % of the estimated contract value of the Plant supplied, by disbursement from the Loan Agreement to the Contractor on shipment of each item, on presentation of a Qualifying Certificate in the form annexed and copies of the documents listed in sub-paragraph (b)(i) above.

(c) the balance of the Contract Price shall be payable as follows:

- (i) _____ % of the estimated contract value of the services

rendered, by direct payment from the Employer to the Contractor on execution of the relevant service, against the following documents:

(original) commercial invoice, and

(original) Interim Payment Certificate confirming the payment due and specifying the amount.

(ii) _____ % of the estimated contract value of the services rendered, by disbursement from the Loan Agreement to the Contractor, on presentation of a Qualifying Certificate in the form annexed and copies of the documents listed in sub-paragraph (c)(i) above.

(d) The direct payments by the Employer specified in sub-paragraph (b) shall be made by an irrevocable letter of credit established by the Employer in favour of the Contractor and confirmed by a bank acceptable to the Contractor.

The above arrangements (involving financing institution(s), Employer and Contractor) may be initiated by the Employer; or by the Contractor, before submitting the Tender. Alternatively, the Contractor may be prepared to initiate financing arrangements and retain responsibility for them, although he would probably be unable or unwilling to provide finance from his own resources. His financing bank's requirements would then affect his attitude in contract negotiations. They might well require the Employer to make interim payments, although a large proportion of the Contract Price might be withheld until the Works are complete.

This payment arrangement can be achieved either by a high Percentage of Retention; or by a suitably completed schedule of payments (see Sub-Clause 14.4), with the Instructions to Tenderers specifying the criteria with which the Tenderer should comply. Since the Contractor would then have to arrange his own financing to cover the shortfall between the payments and his outgoings, he (and his financing bank) would probably require some form of security, guaranteeing payment when due.

It may be appropriate for the Employer, when preparing the tender documents, to anticipate the latter requirement by undertaking to provide a guarantee for the element of payment which the Contractor is to receive when the Works are complete. The acceptable form(s) of guarantee should be included in the tender documents, annexed to the Particular Conditions: an example form is annexed to this document, as Annex G. The following Sub-Clause may be added.

EXAMPLE PROVISIONS FOR CONTRACTOR FINANCE

The Employer shall obtain (at his cost) a payment guarantee in the amount and currencies, and provided by an entity, as stated in the Appendix to Tender. The Employer shall deliver the guarantee to the Contractor within 28 days after both Parties have entered into the Contract Agreement. The guarantee shall be in the form annexed to these Particular Conditions, or in another form acceptable to the Contractor. Unless and until the Contractor receives the guarantee, the Engineer shall not give the notice under Sub-Clause 8.1.

The guarantee shall be returned to the Employer at the earliest of the following dates:

- (a) when the Contractor has been paid the Accepted Contract Amount;
- (b) when obligations under the guarantee expire or have been discharged; or



(c) when the Employer has performed all obligations under the Contract.

Clause 15

Termination by Employer

Sub-Clause 15.2

Termination by Employer

Before inviting tenders, the Employer should verify that the wording of this Sub-Clause, and each anticipated ground for termination, is consistent with the law governing the Contract.

Sub-Clause 15.5

Employer's Entitlement to Termination

Unless inconsistent with the requirements of the Employer and/or financing institutions, a further sentence may be added.

EXAMPLE

Insert at the end of Sub-Clause 15.5:

The Employer shall also pay to the Contractor the amount of any other loss or damage resulting from this termination.

Clause 16

Suspension and Termination by Contractor

Sub-Clause 16.2

Termination by Contractor

Before inviting tenders, the Employer should verify that the wording of this Sub-Clause is consistent with the law governing the Contract. The Contractor should verify that each anticipated ground for termination is consistent with such law.

Clause 17

Risk and Responsibility

Sub-Clause 17.6

Limitation of Liability

EXAMPLE

In Sub-Clause 17.6, the sum referred to in the penultimate sentence shall be _____

Additional Sub-Clause Use of Employer's Accommodation/Facilities

If the Contractor is to occupy the Employer's facilities temporarily, an additional sub-clause may be added:

EXAMPLE SUB-CLAUSE

The Contractor shall take full responsibility for the care of the items detailed below, from the respective dates of use or occupation by the Contractor, up to the respective dates of hand-over or cessation of occupation (where hand-over or cessation of occupation may take place after the date stated in the Taking-Over Certificate for the Works):

(insert details)

If any loss or damage happens to any of the above items while the Contractor is responsible for their care, arising from any cause whatsoever other than those for which the Employer is liable, the Contractor shall, at his own cost, rectify the loss or damage to the

Clause 18 Insurance

The wording in the General Conditions describes the insurances which are to be arranged by the "insuring Party", who is to be the Contractor unless otherwise stated in the Particular Conditions. Insurances so provided by the Contractor are to be consistent with the general terms agreed with the Employer. The Instructions to Tenderers may therefore require tenderers to provide details of the proposed terms.

If the Employer is to arrange any of the insurances under this Clause, the tender documents should include details as an annex to the Particular Conditions (so that tenderers can estimate what other insurances they wish to have for their own protection), including the conditions, limits, exceptions and deductibles; preferably in the form of a copy of each policy. The Employer may find it difficult to effect the insurances described in the third paragraph of Sub-Clause 18.2 (for Contractor's Equipment, which includes Subcontractor's equipment), because the Employer may not know the amount or value of these items of equipment. The following sentence may be included in the Particular Conditions:

EXAMPLE	Delete the final paragraph of Sub-Clause 18.2 and substitute: However, the insurances described in the first two paragraphs of Sub-Clause 18.2 shall be effected and maintained by the Employer as insuring Party, and not by the Contractor.
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Clause 19 Force Majeure

Before inviting tenders, the Employer should verify that the wording of this Clause is compatible with the law governing the Contract.

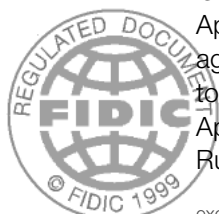
Clause 20 Claims, Disputes and Arbitration

Sub-Clause 20.2 Appointment of the Dispute Adjudication Board

Unless the Engineer (although appointed by the Employer) is to make the pre-arbitral decisions under this Clause 20, in accordance with the alternative option described below, the Contract should include the provisions under Clause 20 which, whilst not discouraging the Parties from reaching agreement on disputes as the works proceed, allow them to refer contentious matters to an impartial dispute adjudication board ("DAB").

The adjudication procedure depends for its success on, amongst other things, the Parties' confidence in the agreed individual(s) who will serve on the DAB. Therefore, it is essential that candidates for this position are not imposed by either Party on the other Party; and that, if the individual is selected under Sub-Clause 20.3, the selection is made by a wholly impartial entity. FIDIC is prepared to perform this role, if this authority has been delegated in accordance with the example wording in the Appendix to Tender.

It is preferable, but not essential, for the individual(s) to be agreed before the Letter of Acceptance is issued, and for the DAB to visit the Site on a regular basis. Under the example text in the Appendix to Tender, the Parties may either so agree before the Letter of Acceptance is issued or agree the appointment within the specified period thereafter. Alternatively, the Parties may prefer to defer the appointment until a dispute has arisen, in which case Sub-Clause 20.2 plus the Appendix - General Conditions of Dispute Adjudication Agreement with its Annex (Procedural Rules) and the Dispute Adjudication Agreement should be amended to comply with the wording



contained in the corresponding sections of FIDIC's Conditions of Contract for Plant and Design - Build.

Sub-Clause 20.2 provides for two alternative arrangements for the DAB:

- (a) one person, who acts as the sole member of the DAB, having entered into a tripartite agreement with both Parties; or
- (b) a DAB of three persons, each of whom has entered into a tripartite agreement with both Parties.

The form of this tripartite agreement could be one of the two alternatives shown at the end of this publication, as appropriate to the arrangement adopted. Both of these forms incorporate (by reference) the General Conditions of Dispute Adjudication Agreement, which are included as the Appendix to the General Conditions because they are also referred to in Sub-Clause 20.2. Under either of these alternative forms of Dispute Adjudication Agreement, each individual person is referred to as a Member.

At an early stage, consideration should be given as to whether a one-person or three-person DAB is preferable for a particular project, taking account of its size, duration and the fields of expertise which will be involved. For some projects, it may be considered appropriate to appoint a one-person DAB for each major field of expertise relevant to the Works; however, this may give rise to problems if, when a dispute arises, the Parties cannot agree which field is applicable and, therefore, to whom the dispute should be referred.

For a one-person DAB to be mutually agreed, the Employer (or the tenderer) could propose the names and curriculum vitae of suitable persons, for the tenderer (or the Employer) to accept. It may be advisable to propose alternates in case some subsequently decline the appointment, assuming that they have not previously indicated their willingness to accept. Each Party may be reluctant to choose names from a list of people who have already been contacted by the other Party.

For a three-person DAB, the Employer and the tenderer may each propose one member, similar to the above procedure, for the tenderer and the Employer respectively to accept. For the chairman, the Employer (or the tenderer) could similarly propose suitable persons for the tenderer (or the Employer) to accept. It may be appropriate for the chairman's retainer fee to be more than that of the other two members, reflecting the additional administrative tasks which a chairman will have to perform.

The appointment of the DAB may be facilitated, especially if the members are not to be appointed at the commencement of the Contract, by including an agreed list of potential members in the Contract: in a Schedule.

Alternatively, the Engineer may make these pre-arbitral decisions. This alternative, which has been the Engineer's traditional role in common law countries, may be appropriate if the Engineer is an independent professional consulting engineer with the experience and resources required for the administration of all aspects of the contract. The Employer should recognise that, although the Engineer generally acts for the Employer as specified in Sub-Clause 3.1(a), the Engineer will make these pre-arbitral decisions impartially and the Employer must not prejudice this impartiality. If this alternative is considered appropriate, the Sub-Clause may be varied:

EXAMPLE SUB-CLAUSE FOR PRE-ARBITRAL DECISIONS BY THE ENGINEER

Delete Sub-Clauses 20.2 and 20.3.

Delete the second paragraph of Sub-Clause 20.4 and substitute:

The Engineer shall act as the DAB in accordance with this Sub-Clause 20.4, acting fairly, impartially and at the cost of the Employer. In the event that the Employer intends to replace the Engineer, the Employer's notice under Sub-Clause 3.4 shall include detailed proposals for the

appointment of a replacement DAB.

Sub-Clause 20.5 Amicable Settlement

The provisions of this Sub-Clause are intended to encourage the parties to settle a dispute amicably, without the need for arbitration: for example, by direct negotiation, conciliation, mediation, or other forms of alternative dispute resolution. Amicable settlement procedures often depend, for their success, on confidentiality and on both Parties' acceptance of the procedure. Therefore, neither Party should seek to impose the procedure on the other Party.

Sub-Clause 20.6 Arbitration

The Contract should include provisions for the resolution by international arbitration of any disputes which are not resolved amicably. In international contracts, international commercial arbitration has numerous advantages over litigation in national courts, and may be more acceptable to the Parties.

Careful consideration should be given to ensuring that the international arbitration rules chosen are compatible with the provisions of Clause 20 and with the other elements to be set out in the Appendix to Tender. The Rules of Arbitration of the International Chamber of Commerce (the "ICC", which is based at 38 Cours Albert 1er, 75008 Paris, France) are frequently included in international contracts. In the absence of specific stipulations as to the number of arbitrators and the place of arbitration, the International Court of Arbitration of the ICC will decide on the number of arbitrators (typically three in any substantial construction dispute) and on the place of arbitration.

If the UNCITRAL (or other non-ICC) arbitration rules are preferred, it may be necessary to designate, in the Appendix to Tender, an institution to appoint the arbitrators or to administer the arbitration, unless the institution is named (and their role specified) in the arbitration rules. It may also be necessary to ensure, before so designating an institution in the Appendix to Tender, that it is prepared to appoint or administer.

For major projects tendered internationally, it is desirable that the place of arbitration be situated in a country other than that of the Employer or Contractor. This country should have a modern and liberal arbitration law and should have ratified a bilateral or multilateral convention (such as the 1958 New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards), or both, that would facilitate the enforcement of an arbitral award in the states of the Parties.

It may be considered desirable in some cases for other Parties to be joined into any arbitration between the Parties, thereby creating a multi-party arbitration. While this may be feasible, multi-party arbitration clauses require skilful drafting, and usually need to be prepared on a case-by-case basis. No satisfactory standard form of multi-party arbitration clause for international use has yet been developed.



Annexes FORMS OF SECURITIES

Acceptable form(s) of security should be included in the tender documents: for Annex A and/or B, in the Instructions to Tenderers; and for Annexes C to G, annexed to the Particular Conditions. The following example forms, which (except for Annex A) incorporate Uniform Rules published by the International Chamber of Commerce (the "ICC", which is based at 38 Cours Albert 1er, 75008 Paris, France), may have to be amended to comply with the applicable law. Although the ICC publishes guides to these Uniform Rules, legal advice should be taken before the securities are written. Note that the guaranteed amounts should be quoted in all the currencies, as specified in the Contract, in which the guarantor pays the beneficiary.

Annex A **EXAMPLE FORM OF PARENT COMPANY GUARANTEE**

[See page 3, and the comments on Sub-Clause 1.14]

Brief description of Contract _____

Name and address of Employer _____

_____ (together with successors and assigns).

We have been informed that _____ (hereinafter called the "Contractor") is submitting an offer for such Contract in response to your invitation, and that the conditions of your invitation require his offer to be supported by a parent company guarantee.

In consideration of you, the Employer, awarding the Contract to the Contractor, we (*name of parent company*) _____ irrevocably and unconditionally guarantee to you, as a primary obligation, the due performance of all the Contractor's obligations and liabilities under the Contract, including the Contractor's compliance with all its terms and conditions according to their true intent and meaning.

If the Contractor fails to so perform his obligations and liabilities and comply with the Contract, we will indemnify the Employer against and from all damages, losses and expenses (including legal fees and expenses) which arise from any such failure for which the Contractor is liable to the Employer under the Contract.

This guarantee shall come into full force and effect when the Contract comes into full force and effect. If the Contract does not come into full force and effect within a year of the date of this guarantee, or if you demonstrate that you do not intend to enter into the Contract with the Contractor, this guarantee shall be void and ineffective. This guarantee shall continue in full force and effect until all the Contractor's obligations and liabilities under the Contract have been discharged, when this guarantee shall expire and shall be returned to us, and our liability hereunder shall be discharged absolutely.

This guarantee shall apply and be supplemental to the Contract as amended or varied by the Employer and the Contractor from time to time. We hereby authorise them to agree any such amendment or variation, the due performance of which and compliance with which by the Contractor are likewise guaranteed hereunder. Our obligations and liabilities under this guarantee shall not be discharged by any allowance of time or other indulgence whatsoever by the Employer to the Contractor, or by any variation or suspension of the works to be executed under the Contract, or by any amendments to the Contract or to the constitution of the Contractor or the Employer, or by any other matters, whether with or without our knowledge or consent.

This guarantee shall be governed by the law of the same country (or other jurisdiction) as that which governs the Contract and any dispute under this guarantee shall be finally settled under the Rules of Arbitration of the International Chamber of Commerce by one or more arbitrators appointed in accordance with such Rules. We confirm that the benefit of this guarantee may be assigned subject only to the provisions for assignment of the Contract.



Date _____ Signature(s) _____

Annex B EXAMPLE FORM OF TENDER SECURITY

[See page 4]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (whom the tender documents define as the Employer).

We have been informed that _____ (hereinafter called the "Principal") is submitting an offer for such Contract in response to your invitation, and that the conditions of your invitation (the "conditions of invitation", which are set out in a document entitled Instructions to Tenderers) require his offer to be supported by a tender security.

At the request of the Principal, we (*name of bank*) _____ hereby irrevocably undertake to pay you, the Beneficiary/Employer, any sum or sums not exceeding in total the amount of _____ (say: _____) upon receipt by us of your demand in writing and your written statement (in the demand) stating that:

- (a) the Principal has, without your agreement, withdrawn his offer after the latest time specified for its submission and before the expiry of its period of validity, or
- (b) the Principal has refused to accept the correction of errors in his offer in accordance with such conditions of invitation, or
- (c) you awarded the Contract to the Principal and he has failed to comply with sub-clause 1.6 of the conditions of the Contract, or
- (d) you awarded the Contract to the Principal and he has failed to comply with sub-clause 4.2 of the conditions of the Contract.

Any demand for payment must contain your signature(s) which must be authenticated by your bankers or by a notary public. The authenticated demand and statement must be received by us at this office on or before (*the date 35 days after the expiry of the validity of the Letter of Tender*) _____, when this guarantee shall expire and shall be returned to us.

This guarantee is subject to the Uniform Rules for Demand Guarantees, published as number 458 by the International Chamber of Commerce, except as stated above.

Date _____ Signature(s) _____



Annex C: EXAMPLE FORM OF PERFORMANCE SECURITY - DEMAND GUARANTEE

[See comments on Sub-Clause 4.2]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (whom the Contract defines as the Employer).

We have been informed that _____ (hereinafter called the "Principal") is your contractor under such Contract, which requires him to obtain a performance security.

At the request of the Principal, we (*name of bank*) _____ hereby irrevocably undertake to pay you, the Beneficiary/Employer, any sum or sums not exceeding in total the amount of _____ (the "guaranteed amount", say: _____) upon receipt by us of your demand in writing and your written statement stating:

- (a) that the Principal is in breach of his obligation(s) under the Contract, and
- (b) the respect in which the Principal is in breach.

[Following the receipt by us of an authenticated copy of the taking-over certificate for the whole of the works under clause 10 of the conditions of the Contract, such guaranteed amount shall be reduced by _____ % and we shall promptly notify you that we have received such certificate and have reduced the guaranteed amount accordingly.] ⁽¹⁾

Any demand for payment must contain your [minister's/directors'] ⁽¹⁾ signature(s) which must be authenticated by your bankers or by a notary public. The authenticated demand and statement must be received by us at this office on or before (*the date 70 days after the expected expiry of the Defects Notification Period for the Works*) _____ (the "expiry date"), when this guarantee shall expire and shall be returned to us.

We have been informed that the Beneficiary may require the Principal to extend this guarantee if the performance certificate under the Contract has not been issued by the date 28 days prior to such expiry date. We undertake to pay you such guaranteed amount upon receipt by us, within such period of 28 days, of your demand in writing and your written statement that the performance certificate has not been issued, for reasons attributable to the Principal, and that this guarantee has not been extended.

This guarantee shall be governed by the laws of _____ and shall be subject to the Uniform Rules for Demand Guarantees, published as number 458 by the International Chamber of Commerce, except as stated above.

Date _____ Signature(s) _____



When writing the tender documents, the writer should ascertain whether to include the optional text, shown in parentheses []

Annex D EXAMPLE FORM OF PERFORMANCE SECURITY - SURETY BOND

[See comments on Sub-Clause 4.2]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (together with successors and assigns, all as defined in the Contract as the Employer).

By this Bond, (*name and address of contractor*) _____
(who is the contractor under such Contract) as Principal and (*name and address of guarantor*) _____
as Guarantor are irrevocably held and firmly bound
to the Beneficiary in the total amount of _____ (the "Bond Amount", say:
_____) for the due performance of all such Principal's obligations and liabilities
under the Contract. [Such Bond Amount shall be reduced by _____ % upon the issue of the taking-
over certificate for the whole of the works under clause 10 of the conditions of the Contract.](¹)

This Bond shall become effective on the Commencement Date defined in the Contract.

Upon Default by the Principal to perform any Contractual Obligation, or upon the occurrence of any of the events and circumstances listed in sub-clause 15.2 of the conditions of the Contract, the Guarantor shall satisfy and discharge the damages sustained by the Beneficiary due to such Default, event or circumstances.⁽²⁾ However, the total liability of the Guarantor shall not exceed the Bond Amount.

The obligations and liabilities of the Guarantor shall not be discharged by any allowance of time or other indulgence whatsoever by the Beneficiary to the Principal, or by any variation or suspension of the works to be executed under the Contract, or by any amendments to the Contract or to the constitution of the Principal or the Beneficiary, or by any other matters, whether with or without the knowledge or consent of the Guarantor.

Any claim under this Bond must be received by the Guarantor on or before (*the date six months after the expected expiry of the Defects Notification Period for the Works*) _____ (the "Expiry Date"), when this Bond shall expire and shall be returned to the Guarantor.

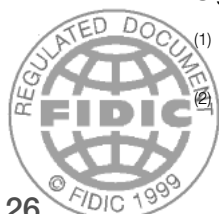
The benefit of this Bond may be assigned subject to the provisions for assignment of the Contract, and subject to the receipt by the Guarantor of evidence of full compliance with such provisions.

This Bond shall be governed by the law of the same country (or other jurisdiction) as that which governs the Contract. This Bond incorporates and shall be subject to the Uniform Rules for Contract Bonds, published as number 524 by the International Chamber of Commerce, and words used in this Bond shall bear the meanings set out in such Rules.

Wherefore this Bond has been issued by the Principal and the Guarantor on (*date*) _____

Signature(s) for and on behalf of the Principal _____

Signature(s) for and on behalf of the Guarantor _____



⁽¹⁾ When writing the tender documents, the writer should ascertain whether to include the optional text, shown in parentheses []

Insert: [and shall not be entitled to perform the Principal's obligations under the Contract.]

Or: [or at the option of the Guarantor (to be exercised in writing within 42 days of receiving the claim specifying such Default) perform the Principal's obligations under the Contract.]

Annex E EXAMPLE FORM OF ADVANCE PAYMENT GUARANTEE

[See comments on Sub-Clause 14.2]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (whom the Contract defines as the Employer).

We have been informed that _____ (hereinafter called the "Principal") is your contractor under such Contract and wishes to receive an advance payment, for which the Contract requires him to obtain a guarantee.

At the request of the Principal, we (*name of bank*) _____ hereby irrevocably undertake to pay you, the Beneficiary/Employer, any sum or sums not exceeding in total the amount of _____ (the "guaranteed amount", say: _____) upon receipt by us of your demand in writing and your written statement stating:

(a) that the Principal has failed to repay the advance payment in accordance with the conditions of the Contract, and

(b) the amount which the Principal has failed to repay.

This guarantee shall become effective upon receipt [of the first instalment] of the advance payment by the Principal. Such guaranteed amount shall be reduced by the amounts of the advance payment repaid to you, as evidenced by your notices issued under sub-clause 14.6 of the conditions of the Contract. Following receipt (from the Principal) of a copy of each purported notice, we shall promptly notify you of the revised guaranteed amount accordingly.

Any demand for payment must contain your signature(s) which must be authenticated by your bankers or by a notary public. The authenticated demand and statement must be received by us at this office on or before (*the date 70 days after the expected expiry of the Time for Completion*) _____ (the "expiry date"), when this guarantee shall expire and shall be returned to us.

We have been informed that the Beneficiary may require the Principal to extend this guarantee if the advance payment has not been repaid by the date 28 days prior to such expiry date. We undertake to pay you such guaranteed amount upon receipt by us, within such period of 28 days, of your demand in writing and your written statement that the advance payment has not been repaid and that this guarantee has not been extended.

This guarantee shall be governed by the laws of _____ and shall be subject to the Uniform Rules for Demand Guarantees, published as number 458 by the International Chamber of Commerce, except as stated above.

Date _____ Signature(s) _____



Annex F EXAMPLE FORM OF RETENTION MONEY GUARANTEE

[See comments on Sub-Clause 14.9]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (whom the Contract defines as the Employer).

We have been informed that _____ (hereinafter called the "Principal") is your contractor under such Contract and wishes to receive early payment of [part of] the retention money, for which the Contract requires him to obtain a guarantee.

At the request of the Principal, we (*name of bank*) _____ hereby irrevocably undertake to pay you, the Beneficiary/Employer, any sum or sums not exceeding in total the amount of _____ (the "guaranteed amount", say: _____) upon receipt by us of your demand in writing and your written statement stating:

- (a) that the Principal has failed to carry out his obligation(s) to rectify certain defect(s) for which he is responsible under the Contract, and
- (b) the nature of such defect(s).

At any time, our liability under this guarantee shall not exceed the total amount of retention money released to the Principal by you, as evidenced by your notices issued under sub-clause 14.6 of the conditions of the Contract with a copy being passed to us.

Any demand for payment must contain your signature(s) which must be authenticated by your bankers or by a notary public. The authenticated demand and statement must be received by us at this office on or before (*the date 70 days after the expected expiry of the Defects Notification Period for the Works*) _____ (the "expiry date"), when this guarantee shall expire and shall be returned to us.

We have been informed that the Beneficiary may require the Principal to extend this guarantee if the performance certificate under the Contract has not been issued by the date 28 days prior to such expiry date. We undertake to pay you such guaranteed amount upon receipt by us, within such period of 28 days, of your demand in writing and your written statement that the performance certificate has not been issued, for reasons attributable to the Principal, and that this guarantee has not been extended.

This guarantee shall be governed by the laws of _____ and shall be subject to the Uniform Rules for Demand Guarantees, published as number 458 by the International Chamber of Commerce, except as stated above.

Date _____ Signature(s) _____



Annex G EXAMPLE FORM OF PAYMENT GUARANTEE BY EMPLOYER

[See page 18: Contractor Finance]

Brief description of Contract _____

Name and address of Beneficiary _____

_____ (whom the Contract defines as the Contractor).

We have been informed that _____ (whom the Contract defines as the Employer and who is hereinafter called the "Principal") is required to obtain a bank guarantee.

At the request of the Principal, we (*name of bank*) _____ hereby irrevocably undertake to pay you, the Beneficiary/Contractor, any sum or sums not exceeding in total the amount of _____ (say: _____) upon receipt by us of your demand in writing and your written statement stating:

(a) that, in respect of a payment due under the Contract, the Principal has failed to make payment in full by the date fourteen days after the expiry of the period specified in the Contract as that within which such payment should have been made, and

(b) the amount(s) which the Principal has failed to pay.

Any demand for payment must be accompanied by a copy of [*list of documents evidencing entitlement to payment*] _____, in respect of which the Principal has failed to make payment in full.

Any demand for payment must contain your signature(s) which must be authenticated by your bankers or by a notary public. The authenticated demand and statement must be received by us at this office on or before (*the date six months after the expected expiry of the Defects Notification Period for the Works*) _____ when this guarantee shall expire and shall be returned to us.

This guarantee shall be governed by the laws of _____ and shall be subject to the Uniform Rules for Demand Guarantees, published as number 458 by the International Chamber of Commerce, except as stated above.

Date _____ Signature(s) _____



GENERAL CONDITIONS

GUIDANCE FOR THE
PREPARATION OF
PARTICULAR CONDITIONS

Conditions of Contract
for **CONSTRUCTION**

FOR BUILDING AND ENGINEERING WORKS
DESIGNED BY THE EMPLOYER

FORMS OF LETTER OF
TENDER, CONTRACT
AGREEMENT AND
DISPUTE ADJUDICATION
AGREEMENT

Forms of Letter of Tender, Contract Agreement
and Dispute Adjudication Agreement

FEDERATION INTERNATIONALE DES INGENIEURS-CONSEILS
INTERNATIONAL FEDERATION OF CONSULTING ENGINEERS
INTERNATIONALE VEREINIGUNG BERATENDER INGENIEURE
FEDERACION INTERNACIONAL DE INGENIEROS CONSULTORES



LETTER OF TENDER

NAME OF CONTRACT:

TO:

We have examined the Conditions of Contract, Specification, Drawings, Bill of Quantities, the other Schedules, the attached Appendix and Addenda Nos _____ for the execution of the above-named Works. We offer to execute and complete the Works and remedy any defects therein in conformity with this Tender which includes all these documents, for the sum of (in currencies of payment) _____

or such other sum as may be determined in accordance with the Conditions of Contract.

We accept your suggestions for the appointment of the DAB, as set out in Schedule _____

*[We have completed the Schedule by adding our suggestions for the other Member of the DAB, but these suggestions are not conditions of this offer].**

We agree to abide by this Tender until _____ and it shall remain binding upon us and may be accepted at any time before that date. We acknowledge that the Appendix forms part of this Letter of Tender.

If this offer is accepted, we will provide the specified Performance Security, commence the Works as soon as is reasonably practicable after the Commencement Date, and complete the Works in accordance with the above-named documents within the Time for Completion.

Unless and until a formal Agreement is prepared and executed this Letter of Tender, together with your written acceptance thereof, shall constitute a binding contract between us.

We understand that you are not bound to accept the lowest or any tender you may receive.

Signature _____ in the capacity of _____

duly authorised to sign tenders for and on behalf of _____

Address: _____

Date: _____

* If the Tenderer does not accept, this paragraph may be deleted and replaced by:



We do not accept your suggestions for the appointment of the DAB. We have included our suggestions in the Schedule, but these suggestions are not conditions of this offer. If these suggestions are not acceptable to you, we propose that the DAB be jointly appointed in accordance with Sub-Clause 20.2 of the Conditions of Contract.

APPENDIX TO TENDER

[Note: with the exception of the items for which the Employer's requirements have been inserted, the following information must be completed before the Tender is submitted]

Item	Sub-Clause	Data
Employer's name and address	1.1.2.2 & 1.3	_____ _____ _____
Contractor's name and address	1.1.2.3 & 1.3	_____ _____ _____
Engineer's name and address	1.1.2.4 & 1.3	_____ _____ _____
Time for Completion of the Works	1.1.3.3	____ days
Defects Notification Period	1.1.3.7	365 days
Electronic transmission systems	1.3	_____
Governing Law	1.4	_____
Ruling language	1.4	_____
Language for communications	1.4	_____
Time for access to the Site	2.1	____ days after Commencement Date
Amount of Performance Security	4.2	_____% of the Accepted Contract Amount, in the currencies and proportions in which the Contract Price is payable
Normal working hours	6.5	_____
Delay damages for the Works	8.7 & 14.15(b)	____ % of the final Contract Price per day, in the currencies and proportions in which the Contract Price is payable
Maximum amount of delay damages	8.7	_____% of the final Contract Price
<i>If there are Provisional Sums:</i>		
Percentage for adjustment of Provisional Sums	13.5(b)	_____%



Initials of signatory of Tender _____

If Sub-Clause 13.8 applies:

Adjustments for Changes in Cost;

Table(s) of adjustment data 13.8

Coefficient; scope of index	Country of origin; currency of index	Source of index; Title/definition	Value on stated date(s)*	
			Value	Date
a= 0.10 Fixed				
b= _____ Labour				
c= _____				
d= _____				
e= _____				

* These values and dates confirm the definition of each index, but do not define Base Date indices

Total advance payment 14.2

Number and timing of instalments 14.2

Currencies and proportions 14.2 for payments each
month/[YEAR] in _____ (currency)

Start repayment of advance payment 14.2(a) _____ % of the Accepted Contract Amount

Repayment amortisation of advance
payment 14.2(b) _____ % in _____
_____ % in _____

Percentage of retention 14.3 when payments are _____ %

Limit of Retention Money 14.3 of the Accepted Contract Amount
less Provisional Sums

If Sub-Clause 14.5 applies: _____ %

Plant and Materials for payment
when shipped en route to the Site 14.5(b) _____ %

_____ % of the Accepted Contract Amount

Plant and Materials for payment
when delivered to the Site 14.5(c)

Minimum amount of Interim Payment _____ [list]
Certificates 14.6 _____ [list]

If payments are only to be made in a currency/currencies named on the first page of the Letter of Tender:

Currency/currencies of payment 14.15 [list]



Initials of signatory of Tender _____

If some payments are to be made in a currency/currencies not named on the first page of the Letter of Tender:

Currencies of payment 14.15 _____ [list]

Currency Unit	Percentage payable in the Currency	Rate of exchange: number of Local per unit of Foreign
Local: _____ [name]	_____	1.000
Foreign: _____ [name]	_____	_____
_____ [name]	_____	_____

Periods for submission of insurance:

(a) evidence of insurance 18.1 ____ % of the Accepted Contract Amount
(b) relevant policies 18.1 _____ as named in the Letters of Tender

Maximum amount of deductibles for
insurance of the Employer's risks 18.2(d)

Minimum amount of third party _____ days
insurance 18.3 _____ days

Date by which the DAB shall be appointed 20.2

The DAB shall be 20.2

28 days after the Commencement
Date

Appointment (if not agreed) to be
made by 20.3 *Either:*
_____ One sole Member/adjudicator
Or:

If there are Sections:
Definition of Sections:

Description (Sub-Clause 1.1.5.6)	Time for Completion (Sub-Clause 1.1.3.3)	Delay Damages (Sub-Clause 8.7)
_____	_____	_____
_____	_____	_____
_____	_____	_____
_____	_____	_____

[In the above Appendix, the text shown in italics is intended to assist the drafter of a particular contract by providing guidance on which provisions are relevant to the particular contract. This italicised text should not be included in the tender documents, as it will generally appear inappropriate to tenderers.]



Initials of signatory of Tender _____

CONTRACT AGREEMENT

This Agreement made the _____ day of _____ 19 _____

Between _____ of _____ (hereinafter called "the Employer") of the one
part _____ a _____ r _____ t _____ ,
and _____ of _____ (hereinafter called "the Contractor") of the
other part

Whereas the Employer desires that the Works known as _____ should be executed
by the Contractor, and has accepted a Tender by the Contractor for the execution and
completion of these Works and the remedying of any defects therein,

The Employer and the Contractor agree as follows:

1. In this Agreement words and expressions shall have the same meanings as are
respectively assigned to them in the Conditions of Contract hereinafter referred to.
2. The following documents shall be deemed to form and be read and construed as part of
this Agreement:
 - (a) The Letter of Acceptance dated _____
 - (b) The Letter of Tender dated _____
 - (c) The Addenda nos _____
 - (d) The Conditions of Contract
 - (e) The Specification
 - (f) The Drawings, and
 - (g) The completed Schedules.
3. In consideration of the payments to be made by the Employer to the Contractor as
hereinafter mentioned, the Contractor hereby covenants with the Employer to execute
and complete the Works and remedy any defects therein, in conformity with the
provisions of the Contract.
4. The Employer hereby covenants to pay the Contractor, in consideration of the execution
and completion of the Works and the remedying of defects therein, the Contract Price at
the times and in the manner prescribed by the Contract.

In Witness whereof the parties hereto have caused this Agreement to be executed the day and

SIGNED by: _____ SIGNED by: _____

for and on behalf of the Employer in the presence of _____ for and on behalf of the Contractor in the presence of _____

Witness: _____
Name: _____
Address: _____
Date: _____

Witness: _____
Name: _____
Address: _____
Date: _____



DISPUTE ADJUDICATION AGREEMENT

[for a one-person DAB]

Name and details of Contract _____
Name and address of Employer _____
Name and address of Contractor _____
Name and address of Member _____

Whereas the Employer and the Contractor have entered into the Contract and desire jointly to appoint the Member to act as sole adjudicator who is also called the "DAB".

The Employer, Contractor and Member jointly agree as follows:

1. The conditions of this Dispute Adjudication Agreement comprise the "General Conditions of Dispute Adjudication Agreement", which is appended to the General Conditions of the "Conditions of Contract for Construction" First Edition 1999 published by the Fédération Internationale des Ingénieurs-Conseils (FIDIC), and the following provisions. In these provisions, which include amendments and additions to the General Conditions of Dispute Adjudication Agreement, words and expressions shall have the same meanings as are assigned to them in the General Conditions of Dispute Adjudication Agreement.
2. [*Details of amendments to the General Conditions of Dispute Adjudication Agreement, if any. For example:*

In the procedural rules annexed to the General Conditions of Dispute Adjudication Agreement, Rule _ is deleted and replaced by: " ... "]
3. In accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement, the Member shall be paid as follows:

A retainer fee of _____ per calendar month,
plus a daily fee of _____ per day.
4. In consideration of these fees and other payments to be made by the Employer and the Contractor in accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement, the Member undertakes to act as the DAB (as adjudicator) in accordance with this Dispute Adjudication Agreement.
5. The Employer and the Contractor jointly and severally undertake to pay the Member, in consideration of the carrying out of these services, in accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement.
6. This Dispute Adjudication Agreement shall be governed by the law of _____

SIGNED by: _____ SIGNED by: _____ SIGNED by: _____

for and on behalf of the Employer for and on behalf of the Contractor The Member in the presence of
in the presence of in the presence of

Witness: _____ Witness: _____ Witness _____
Name: _____ Name: _____ Name: _____
Address: _____ Address: _____ Address: _____
Date: _____ Date: _____ Date: _____



DISPUTE ADJUDICATION AGREEMENT

[for each member of a three-person DAB]

Name and details of Contract _____
Name and address of Employer _____
Name and address of Contractor _____
Name and address of Member _____

Whereas the Employer and the Contractor have entered into the Contract and desire jointly to appoint the Member to act as one of the three persons who are jointly called the "DAB" [*and desire the Member to act as chairman of the DAB*].

The Employer, Contractor and Member jointly agree as follows:

1. The conditions of this Dispute Adjudication Agreement comprise the "General Conditions of Dispute Adjudication Agreement", which is appended to the General Conditions of the "Conditions of Contract for Construction" First Edition 1999 published by the Fédération Internationale des Ingénieurs-Conseils (FIDIC), and the following provisions. In these provisions, which include amendments and additions to the General Conditions of Dispute Adjudication Agreement, words and expressions shall have the same meanings as are assigned to them in the General Conditions of Dispute Adjudication Agreement.

2. [*Details of amendments to the General Conditions of Dispute Adjudication Agreement, if any. For example:*

In the procedural rules annexed to the General Conditions of Dispute Adjudication Agreement, Rule _ is deleted and replaced by: "... "]

3. In accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement, the Member shall be paid as follows:

A retainer fee of _____ per calendar month,
plus a daily fee of _____ per day.

4. In consideration of these fees and other payments to be made by the Employer and the Contractor in accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement, the Member undertakes to serve, as described in this Dispute Adjudication Agreement, as one of the three persons who are jointly to act as the DAB.
5. The Employer and the Contractor jointly and severally undertake to pay the Member, in consideration of the carrying out of these services, in accordance with Clause 6 of the General Conditions of Dispute Adjudication Agreement.
6. This Dispute Adjudication Agreement shall be governed by the law of _____

SIGNED by: _____ SIGNED by: _____ SIGNED by: _____

for and on behalf of the Employer for and on behalf of the Contractor for and on behalf of the Employer
in the presence of in the presence of in the presence of

Witness: _____ Witness: _____ Witness: _____
Name: _____ Name: _____ Name: _____
Address: _____ Address: _____ Address: _____
Date: _____ Date: _____ Date: _____



FIDIC Guidance Memorandum to Users of the 1999 Conditions of Contract dated 1st April 2013

Purpose:

This Guidance Memorandum is designed to make explicit the intentions of FIDIC in relation to the enforcement of the DAB decisions that are binding and not yet final, which is that in the case of failure to comply with these decisions, the failure itself should be capable of being referred to arbitration under Sub-Clause 20.6 [*Arbitration*], without Sub-Clause 20.4 [*Obtaining Dispute Adjudication Board's Decision*] and Sub-Clause 20.5 [*Amicable Settlement*] being applicable to the reference. This intention has been made manifest in the FIDIC Conditions of Contract for Design, Build and Operate Projects, 2008 ('Gold Book') by the equivalent Sub-Clause 20.9.

To make FIDIC's intention explicit this Guidance Memorandum provides changes to be made to the FIDIC dispute resolution Clause 20 and in particular to Sub-Clause 20.7 and, as a consequence, to 14.6 and 14.8 of the FIDIC Conditions of Contract for Construction, 1999 (the 'Red Book'), the FIDIC Conditions of Contract for Plant and Design-Build, 1999 ('Yellow Book'), and the EPC/Turnkey Projects, 1999 ('Silver Book'). Compliance with the guidance provided in this Memorandum is highly recommended when using the 1999 FIDIC Red, Yellow or Silver books.

Background:

A substantial number of arbitral tribunals have found Clause 20 to be unclear on the issue of whether a party may refer the failure of the other Party to comply with a DAB decision that is 'binding' but not 'final' to arbitration as is explicitly the case of a 'final and binding' decision under Sub-Clause 20.7. A DAB decision is 'binding' and not 'final' when either Party, within 28 days after receiving the DAB decision, gives notice to the other party of its dissatisfaction with the DAB decision.

International arbitral tribunals have been divided over whether, in the event of a failure to comply with a DAB decision issued under Clause 20 of the Red Book, which is 'binding' but not 'final', the failure itself may be referred to arbitration, without Sub-clause 20.4 [*Obtaining Dispute Adjudication Board's Decision*] and Sub-Clause 20.5 [*Amicable Settlement*] being applicable to the reference. This issue was also the subject of the judgment of the Singapore High Court in *PT Perusahaan Gas Negara (Persero) TBK v CRW Joint Operation* [2010] SGHC 202 and the judgment of the Court of Appeal of Singapore dismissing an appeal from that judgment [2011] SGCA 33 ('Singapore Case'), which set aside an ICC award directing enforcement of a DAB decision.

The same concern applies to Clause 20 of the Yellow Book, and the Silver Book, as that Clause is worded in substantially identical terms in them.



FIDIC's Recommendation:

Clause 20:

- a. Sub-Clause 20.4 - Insert the following as a new penultimate paragraph:

'If the decision of the DAB requires a payment by one Party to the other Party, the DAB may require the payee to provide an appropriate security in respect of such payment'

- b. Replace Sub-Clause 20.7 in its entirety with:

'In the event that a Party fails to comply with any decision of the DAB, whether binding or final and binding, then the other Party may, without prejudice to any other rights it may have, refer the failure itself to arbitration under Sub-Clause 20.6 [Arbitration] for summary or other expedited relief, as may be appropriate. Sub-Clause 20.4 [Obtaining Dispute Adjudication Board's Decision] and Sub-Clause 20.5 [Amicable Settlement] shall not apply to this reference.'

Clause 14

- a. Sub-Clause 14.6 – Insert the following at the end of the last sentence of the first paragraph:

‘, and shall include any amounts due to or from the Contractor in accordance with a decision by the DAB made under Sub-Clause 20.4 [Obtaining Dispute Adjudication Board's Decision]’

- b. Sub-Clause 14.7, paragraph b – insert the following before ‘; and’:

‘including any amounts due in accordance with a decision by the DAB which have been included in the Interim Payment Certificate’

